of this form of budgeting is to optimise the benefits of expenditure in every area of activity and in this sense it is exceptional. To the extent the corporate world is concerned, this has been a very successful financial management tool.

In India, it is believed to be in practice since 1997–99. We cannot say that India is a success in ZBB, but many of the profit-fetching PSUs have been able to use it successfully and optimise their profits.

RESULTS-FRAMEWORK DOCUMENT (RFD)

In September 2009, the Indian PM approved the outline of a ***Performance Monitoring and Evaluation System (PMES)*** for government ministries/departments. Under PMES, each ministry/department is required to prepare a Results-Framework Document (RFD). It has been adopted by the GoI to monitor the performance management of various ministries/departments. The RFD system is being implemented in various ministries/departments in phased manner – was implemented to 59 ministries/departments for the year 2009-10, increasing every year in 2013-14 it will get implemented in 84 ministries/departments. ***Performance Management*** in the government is a *new concept* which determines the performance index based upon the agreed objectives, policies, programme and projects/schemes. To ensure the success in achieving the agreed objectives and implementing agreed policies, programme and projects, the RFD also includes a commitment for required resources and necessary operational autonomy.

A 'RFD provides a summary of the most important results that a organization expects to achieve during the financial year'. The document has two main purposes –

(i) Move the focus of the organization 'from process-orientation to results-orientation'; and

(ii) provide an objective and fair basis to evaluate organization's overall performance at the year-end.

The RFD Guidelines are divided into ***three broad sections:*** **1.** Format of RFD; **2.** Methodology for Evaluation; and **3.** RFD Process and Timelines